

Aon Managed Initial Growth Phase

Defined contributions

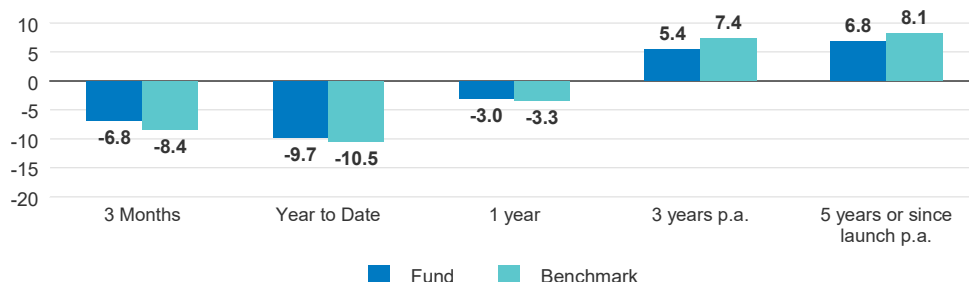
Fund objective

The Fund aims to outperform its benchmark by investing in a range of funds that provide exposure to a range of asset types, which might include global equities, fixed income, property and other assets.

Fund performance

Aon Managed Initial Growth Phase

% returns



Standardised yearly fund performance (%)

	30/06/2017 30/06/2018	30/06/2018 30/06/2019	30/06/2019 30/06/2020	30/06/2020 30/06/2021	30/06/2021 30/06/2022
Fund	7.3	10.6	-0.6	21.4	-3.0
Benchmark	8.5	10.0	3.6	23.7	-3.3

Past performance is not a reliable guide to future performance. The value of investments and the income from them can fluctuate and are not guaranteed. Investors may not get back the full amount invested.

Performance shown is gross of the annual management charge but is net of additional expenses (if any) incurred within the fund. The annual management charge will reduce the performance figures shown. Source: Scottish Equitable plc.

Performance Commentary

Over the three-month period to 30 June 2022, the Fund returned -6.8% gross of fees, outperforming its benchmark by 1.6%. The Fund is invested 90% in the Aon Managed Global Equity Fund, with the remaining 10% invested in a diversified range of commercial property assets and listed securities within the property and infrastructure sectors.

Inflation remained elevated, with the US Consumer Price Index (CPI) rising 8.6% year-on-year in May and UK CPI rising 9.1% year-on-year due to soaring energy and food prices. Inflation fears continued to unsettle central banks over Q2, leading to significant rate rises by central banks across the globe. Geopolitical risk remained high over Q2, as the conflict in Ukraine entered its fifth month. The European Union agreed to implement the sixth package of sanctions on Russia that includes removing Russia's largest bank, Sberbank, from the SWIFT-cross border payment system and a ban on sea-borne oil purchases from Russia, which comprises almost two-thirds of Europe's imports from Russia. Global equity markets fell in response to continued inflationary pressure and fears of corresponding tighter monetary policy.

The Aon Managed Global Equity Fund returned -6.7% over the quarter. The Fund's underlying holdings generated negative returns over the quarter, reflecting broad equity market falls. The allocation to factor-based equities returned -6.7%, outperforming the broader market. All four factors contributed positively to returns, with the low volatility and momentum factors contributing most. Additionally, the fund's underweight to the technology sector was beneficial as more growth orientated stocks lagged the broader market.

Emerging market equities returned -3.2%, as investors' risk appetites fell and was the best performing holding over the quarter. Latin American equities suffered badly from inflation and growth fears. Furthermore, the strengthening of the US dollar also weighed upon most Emerging Market countries, which are generally net exporters. Chinese equities on the other hand performed well and provided a positive return, as Covid-19 lockdown restrictions eased and new economic stimulus was announced.

The newly introduced UBS Global Equity Climate Transition Fund returned -8.5% and outperformed the benchmark. Stock selection in the Health Care, Consumer Staples and Financial sectors contributed

Fund facts

Fund type	LIFE
Domicile	UK
Issuing company	Aegon/Scottish Equitable plc
Use of Income	Accumulation
Base Currency	GBP
Entry Fees	No
Exit Fees	No
Performance Fee	No
Benchmark	90% MSCI All Country World Index Net Return GBP/7% FTSE EPRA/NAREIT Developed Index/1.5% ARE/IPD UK Quarterly All Balanced Property Index/1.5% FTSE Developed Core Infrastructure Index
Fund value (millions)	£977.19
Inception date	30 December 2014
Additional expenses	0.05%

Prior to 18th November 2016 the benchmark was 90% MSCI All Country World Index Net Return GBP/7%FTSE EPRA/NAREIT Developed Index/1.5% ARE/IPD UK Quarterly All Balanced Property Index/1.5% FTSE Macquarie Global Infrastructure 100 Index, as the benchmark of the underlying BlackRock LGIM Infrastructure Fund was transitioned to the FTSE Developed Core Infrastructure Index.

An annual management charge will also be incurred in addition to the additional expenses shown.

Relative Risk Profile



These risk ratings are only applicable to funds available via TargetPlan. Other risk ratings apply across the rest of our fund range and they, or ratings from other providers, are not comparable. Be aware that even lower risk investments can fall in value.

positively over the quarter, with the largest contributions due to overweight positions in Kellogg, General Mills and Merck.

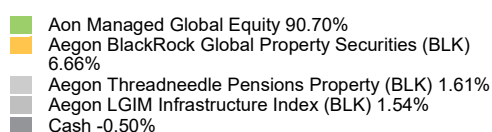
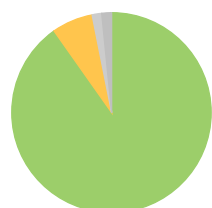
The allocation to property and infrastructure delivered mixed returns over the quarter. The allocation to direct UK commercial property, managed by Threadneedle, was the best performing strategy and generated a return of 5.0% over the quarter. The positive return reflected a combination of rental income and growth in capital values over the quarter. Threadneedle's allocation to retail warehouses and industrial properties also contributed positively to returns. The allocation to listed property, managed by BlackRock, was the worst performing strategy and returned -11.2%, as performance was impacted by rising interest rates combined with falls in global equities. The listed infrastructure holding, managed by Legal and General, returned -1.0%. Over half of this fund is invested in utilities, with sizeable exposure to the industrial and oil & gas sectors, and benefited from the continued high energy prices.

Since inception the Fund has generated a strong absolute return of 9.5% p.a., underperforming its benchmark by 0.6%.

Source: Aon

Asset allocations

Capital allocation



Negative figures may be related to the use of derivatives, or as a result of trading activity within the fund as at the reporting date.

Top 10 Holdings

	%
Aon Managed Global Equity	90.7
Aegon BlackRock Global Property Securities (BLK)	6.7
Aegon Threadneedle Pensions Property (BLK)	1.6
Aegon LGIM Infrastructure Index (BLK)	1.5
Cash	-0.5
Total	100.0

Fund Commentary

The Aon Managed Initial Growth Phase Fund aims to outperform its composite benchmark by investing in funds that provide exposure to a range of asset types, which may include global equities, property and other assets. The Fund's current investment strategy is to hold 90% of its assets in the Aon Managed Global Equity Fund, which invests in a global equity climate transition fund, an emerging market equity fund and a multi-factor equity fund that provides exposure to broader equity market themes (often referred to as factor investing), including value, quality, momentum, small size and low volatility. Each of the underlying funds invests broadly in line with its respective investment benchmark (commonly known as 'passive investment'). Investing across multiple regions, industry sectors and broader equity market themes is intended to create an equity portfolio that is diverse and well-balanced.

The inclusion of funds with an ESG screen and focus on environmental issues aims to help reduce the Fund's carbon footprint and reduce the investment risks associated with climate change and the transition to a low carbon economy. The global equity climate transition fund offers broad based exposure to global equities but with improved climate metrics, lower carbon emissions, better ESG scores and a focus on positive impact by investing more in those companies that contribute to a just and fair transition. Alongside this, the low carbon approach within the multi-factor equity fund offers a large reduction in carbon emissions, achieved by investing less in companies with a high carbon footprint across a range of different sectors. Together these two strategies account for 80% of the Fund. The Fund also reduces exposure to tobacco, controversial weapons and companies that violate the UN Global Compact principles.

The remaining 10% of the Aon Managed Initial Growth Phase Fund is invested in a listed global real estate fund, a listed infrastructure fund and a UK property fund.

It is possible that the managers used to implement the strategy, or the proportion of the Fund invested in each manager, may change from time to time. There were no changes to the structure of this Fund over the quarter.

Source: Aon

To provide a like for like comparison with the benchmark, a special price is calculated monthly at the close of business on the last working day. However, calculating this special price is not always possible and in these cases the standard price is used and this can lead to differences in performance reporting between fund and benchmark. Further differences in performance reporting between fund and benchmark may also arise due to the impact of timing, charges, cashflows, and the pricing basis of the underlying fund. Fund returns are calculated on a total return basis with dividends reinvested.

The value of your plan depends directly on a number of things, including the level of your pensions savings, charges, investment returns and the annuity rates available to buy your pension income when you decide to take your benefits. Levels and basis of, and reliefs from, taxation can also change. Any money that you invest in the plan is tied up until you take your retirement benefits. You cannot normally take the benefits until at least the age of 55.

The value of investments can fluctuate. Fluctuations may be particularly marked in the case of a higher volatility fund and the value of an investment may fall suddenly and substantially. Changes in exchange rates will affect the value of overseas investments. Emerging market investments are often associated with greater investment risk. Two main risks related to fixed income investing are interest rate risk and credit risk. Typically, when interest rates rise, there is a corresponding decline in the market value of bonds. Credit risk refers to the possibility that the issuer of the bond will not be able to repay the principal and make interest payments.

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All data as at: 30 June 2022

Source: Scottish Equitable plc.